

milk production. According to the Economic Survey 2009-10, there is a green fodder shortage of about 34 per cent in the country. This shortage and the resultant high cost of fodder has led to about a 40 per cent increase in its cost and more than 20 per cent increase in the cost of milk production.

Industry sources say India's de-oiled cake exports had increased from Rs 3,177 crore in 2004-05 to Rs 10,000 crore in 2008-09. "By disincentivising oilmeal exports, availability of feed would increase and partially solve the problem," says B.M. Vyas, managing director, Gujarat Cooperative Milk Marketing Federation (GCMMF), Anand. "We had requested the Government to remove excise on molasses and reduce VAT on the same to reduce cattle feed manufacturing cost," he said, adding that the finance minister had, however, overlooked the demand in this year's

We have dithered from the policy direction of the 1960s to 1990s.

B.M. VYAS
MD, GCMMF, ANAND



Rising demand despite the price rise reflects growth in purchasing power.

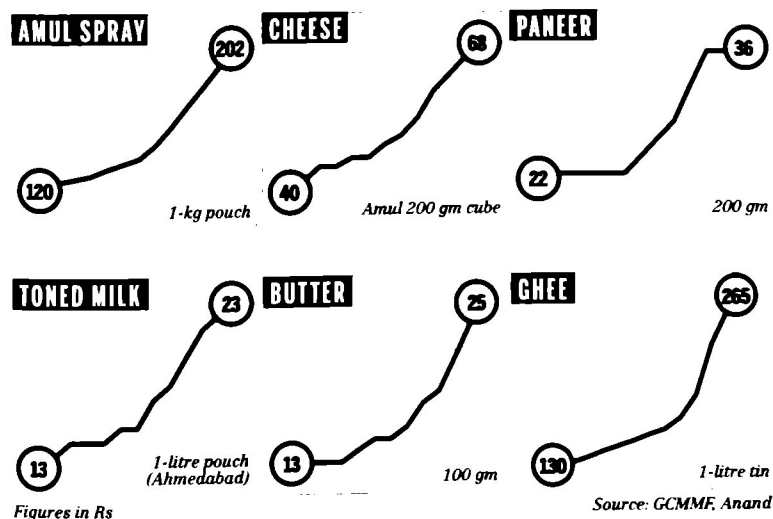
AMRITA PATEL
CHAIRPERSON, NDDB



Graphic by PRASHANT CHOUDHARY/www.indiatodaymagazine.com

DEMAND PULL

Milk and milk product prices have risen manifold between 2002 and 2010



Budget. In order to meet the projected demand of 180 MMT of milk by 2021-22, milk production in the country has to grow by 5 MMT annually, twice the present growth of 2.5 MMT per annum. "The dairy industry must respond to the rapidly growing demand for milk," says Sharad Gupta, editor, Dairy India, a data compendium of India's dairy sector.

Urban India consumes over half of domestic milk production. Rising awareness about hygiene standards and preference against loose milk has prompted the urban consumer to switch to pasteurised packaged milk. This has created a demand of 140 million litres per day, which is expected to double in the next five years. R.G. Chandramogan, Chairman, Hatsun Agro Pvt Ltd, says, "The cooperatives and private entrepreneurs would need to invest in an efficient and organised rural milk procurement network and reduce its dependence on intermediary milk collectors and transporters." According to Gupta, the domestic market for value-added products like butter, cheese, ice cream, dairy whiteners and spreads is galloping at 8-10 per cent per year since 2003-04. The infant food market is expected to grow 10-15 per cent annually. Annual production of traditional sweets in India is estimated at 3 MMT, valued at Rs 70,000 crore, says Gupta.

Tied to availability and price of milk is the productivity of dairy animals, which varies widely across the country. The average milk yield of cross-bred cows varied from 3.52 kg/day per animal in Assam to 8.95 kg/day in Punjab in 2005. Uttar Pradesh, with the highest production (18.8 MMT in 2007-08) in India, had a per capita availability of 250 grams/day, much lower than that in Punjab (898 grams/day). India's milk production economy is based on conversion of agro by-products and opportunity labour. Therefore, the cost of milk production here is among the lowest in the world, making it globally price competitive without any subsidy. According to a memorandum submitted recently to the prime minister by 14 leading cooperatives, milk is the

Urban Indians consume over half OF DOMESTIC MILK production and prefer pasteurised packaged milk.